Alphabet Inc.

Working Through the 10-Q; Remains Our Top-Pick; Overweight, $460 PT

Overweight

GOOG, GOOG US
Price (01 May 26):$383.22
Price Target (Dec-26):$460.00

Overweight

GOOGL, GOOGL US
Price (01 May 26):$385.69
Price Target (Dec-26):$460.00

Internet - Large Cap / Mid & Small Cap

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Google delivered a standout quarter, with its full-stack AI approach driving accelerating growth. Investor sentiment is decidedly positive, w/GOOG/L shares up 10% since the print (adding ~$434B in market cap) vs. the SPX up +1%. **Key questions from here center on: 1)** sustainability of strong Search growth & how Google continues to integrate AI Overviews, AI Mode, & Gemini, while also increasing ad coverage; **2)** magnitude of Cloud revenue growth through 2026-2027 given the massive $462B backlog—we estimate+82% growth in 4Q26 & +65% in 2027; **3)** 2027 capex w/management signaling another "significant" increase—we project $293B in 2027 capex (+54% Y/Y) as we believe greater investment will be required to satisfy backlog; **4)** the mechanics of TPU hardware deals, including revenue recognition & margin profile; & **5)** capital allocation priorities & the path of share repurchases, w/no buybacks in 1Q despite $69.5B remaining on the authorization. **GOOG/L remains our top overall pick, and we believe shares will continue to go higher on both earnings revisions & multiple expansion.** Our $460 Dec '26 PT is based on 32x our '27E GAAP EPS of $14.31. Please see key takeaways from GOOG/L's recently filed 10-Q below.

- **1) Revenue Backlog (page 12):** *"As of March 31, 2026, we had $467.6 billion of remaining performance obligations ("revenue backlog"), of which $462.3 billion related to Google Cloud. Revenue backlog represents commitments in customer contracts that have not yet been recognized as revenue. We expect to recognize just over 50% of the revenue backlog as revenues over the next 24 months with the remainder to be recognized thereafter...In the first quarter of 2026, we elected to change our reporting of revenue backlog to now also include contracts with an original expected term of one year or less. As of March 31, 2026, the portion of our revenue backlog related to contracts with an original expected term of one year or less was approximately $7.3 billion."*

  - **Our Take:** Google's near-doubling of revenue backlog to $468B in 1Q from $243B in 4Q has been the single-most impressive metric this earnings season thus far. Cloud backlog of $462B represented 99% of Alphabet's total revenue backlog, and with just over 50% of backlog expected to convert to revenue over the next 24 months, two-year Cloud revenue visibility alone is north of $230B, or an average of ~$29B per quarter. Importantly, we note that while Google indicated that typical GCP deals drove the majority of the backlog increase, we believe a large, multi-year commitment from Anthropic is included in 1Q backlog given that the deal was signed in March 2026 (page 40 of 10-Q) even though announcements did not come out until April 2026. TPU hardware sales—mentioned on page 38—are also included in backlog (see #2 below). We also note that Google Cloud revenue as a % of prior period ending backlog further decreased to 8% in 1Q. We model further compression to 5% in 2Q, which assumes the recent backlog increase likely has longer duration, i.e. less recognized upfront vs. in prior quarters.

See page 14 for analyst certification and important disclosures.

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Figure 1: Google Cloud Revenue & Backlog, 1Q23A-1Q26A

	3/23A	6/23A	9/23A	12/23A	3/24A	6/24A	9/24A	12/24A	3/25A	6/25A	9/25A	12/25A	3/26A	6/26E
Google Cloud Revenue	7,454	8,031	8,411	9,192	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028	23,290
Y/Y growth	*28%*	*28%*	*22%*	*26%*	*28%*	*29%*	*35%*	*30%*	*28%*	*32%*	*34%*	*48%*	*63%*	*71%*
Google Cloud Revenue Backlog						76,812	85,165	91,444	89,831	106,000	155,000	240,000	462,300	
Y/Y Growth										*38%*	*82%*	*162%*	*415%*	
Q/Q Growth							*11%*	*7%*	*-2%*	*18%*	*46%*	*55%*	*93%*	
Alphabet Revenue Backlog	61,700	60,600	64,900	74,100	72,500	78,800	86,800	93,200	92,400	108,200	157,700	242,800	467,600	
Y/Y Growth	*22%*	*18%*	*24%*	*15%*	*18%*	*30%*	*34%*	*26%*	*27%*	*37%*	*82%*	*161%*	*406%*	
Q/Q Growth	*-4%*	*-2%*	*7%*	*14%*	*-2%*	*9%*	*10%*	*7%*	*-1%*	*16%*	*71%*	*54%*	*93%*	

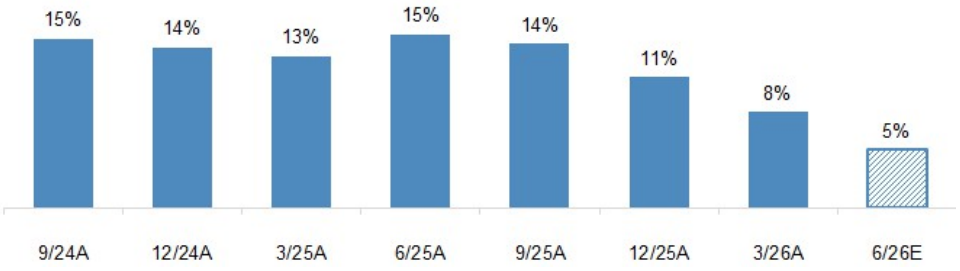
Source: Company Reports

Figure 2: Revenue Backlog Disclosure, 2023A-1Q26A

	Google Cloud Backlog	Alphabet Total Backlog	Expected Recognition to Revenue Over the Next 24 Months
1Q26 10-Q :	$462.3B	$467.6B	*just over 50%*
2025 10-K :	$240.0B	$242.8B	*just over 50%*
3Q25 10-Q :	$155.0B	$157.7B	*just over 55%*
2Q25 10-Q :	$106.0B	$108.2B	*~55%*
1Q25 10-Q :	$89.8B	$92.4B	*~55%*
2024 10-K :	NA	$93.2B	*~50%*
2023 10-K :	NA	$74.1B	*~50%*

Source: Company Reports

Figure 3: Google Cloud Revenue as % of Prior Period Ending Google Cloud Revenue Backlog, 3Q24A-2Q26E



Source: Company Reports, J.P. Morgan Estimates

- **2) TPU Hardware & Commercial Agreements (pages 40 & 51):** *"Google Cloud has entered into a limited number of agreements to supply multiple gigawatts of TPU hardware to customers who require or provide on-premises infrastructure for specialized, high-scale workloads. Revenues for these transactions are included in our backlog as of March 31, 2026. We expect to begin recognizing revenues from these agreements later in 2026, with the significant majority to be recognized in 2027. In connection with certain of these agreements, we have agreed to provide credit backstops to support third-party data centers and power infrastructure."*
  - **Our Take:** Beyond the details already shared on the 1Q26 earnings call—TPU hardware sales to select customers, revenue timing (small % in 2026, vast majority in 2027), inclusion in Cloud backlog, and Q/Q revenue lumpiness based on shipping cadence—the 10-Q introduces a few net-new disclosures. We believe these are: 1) scale at multiple gigawatts, which was not quantified on the call; 2) a new Risk Factor

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(page 51) stating that "engaging in the supply of our custom hardware...may increase our costs and operational complexity" and that "large, long-duration commercial agreements...including financial guarantees such as backstops to support the buildout of third-party data centers and power infrastructure" could result in additional liabilities, excess capacity, or counterparty risk; and 3) the disclosure that in connection with certain of these TPU agreements, Google has agreed to provide credit backstops to support infra buildout.

- **3) Paid Clicks & Cost-per-Click Growth (page 41):** *Search & other paid clicks grew 13% and cost-per-click grew 5% in 1Q.*
  - **Our Take:** Paid clicks growth accelerated for the 4th consecutive quarter to +13% in 1Q, albeit on easier comps, which become tougher in 2Q and the back half. The acceleration in paid clicks growth over the past 4 quarters, along with all-time high query volume in 1Q, supports Google's view that AI is expansionary to search.

Figure 4: Google Search & Other Revenue, Paid Clicks, & CPC Growth, 2023A-1Q26A

$ in millions	2023A	3/24A	6/24A	9/24A	12/24A	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A
Google Search & other												
Revenue	175,033	46,156	48,509	49,385	54,034	198,084	50,702	54,190	56,567	63,073	224,532	60,399
Y/Y growth	8%	14%	14%	12%	13%	13%	10%	12%	15%	17%	13%	19%
Seasonality		23%	24%	25%	27%		23%	24%	25%	28%		23%
Paid clicks Change (% Y/Y)	*7%*	*5%*	*6%*	*4%*	*5%*	*5%*	*2%*	*4%*	*7%*	*10%*	*6%*	*13%*
QTD Y/Y growth		*5%*	*5%*	*5%*	*5%*		*2%*	*3%*	*4%*	*6%*		*13%*
Cost-per-click Change (% Y/Y)	*1%*	*8%*	*7%*	*8%*	*7%*	*7%*	*7%*	*8%*	*7%*	*6%*	*7%*	*5%*
QTD Y/Y growth		*8%*	*8%*	*8%*	*0%*		*7%*	*8%*	*7%*	*7%*		*5%*

Source: Company reports, J.P. Morgan estimates

- **4) Property and Equipment, Net (page 24):** *Net P&E grew +14% Q/Q to $281.0B, w/in-service P&E up +2% Q/Q to $272.6B, & assets not yet in service+38% Q/Q to $108.6B.*
  - **Our Take:** Net P&E grew to $281.0B (+14% Q/Q, +$34.4B), driven almost entirely by assets not yet in service jumping to $108.6B (+38% Q/Q, +$30B). Significant assets not yet in service suggests a large portion of the infrastructure pipeline has yet to hit the depreciation line. Technical infrastructure grew +7% Q/Q to $217.9B, with the 60/40 split (servers & network equipment vs. data center land & buildings) holding steady, while in-service P&E grew a modest +2% Q/Q to $272.6B, suggesting the bulk of new spending remains in build-out phase. Importantly, as shown below in Figure 5, average asset age compressed to 3.9 years (-17.2% Y/Y) and implied useful life fell to 10.5 years (-11.5% Y/Y), pointing to accelerating hardware refresh cycles (consistent with AI/GPU infrastructure demands) and foreshadowing a structurally higher depreciation run-rate as the $108.6B construction pipeline converts to in-service assets over the coming quarters.

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Figure 5: Property and Equipment Disclosure & Analysis, 2023A-1Q26A

$ in millions	2023A	2024A	3/25A	6/25A	9/25A	12/25A	3/26A	Q/Q growth %	Q/Q growth $
Technical infrastructure	112,504	141,852	150,992	167,467	184,107	203,679	217,886	7%	14,207
Office space	40,435	45,403	44,871	45,493	45,715	48,348	48,772	1%	424
Corporate and other assets	13,728	12,574	17,336	17,920	18,059	14,463	5,945	-59%	(8,518)
Property and equipment, in service	**166,667**	**199,829**	**213,199**	**230,880**	**247,881**	**266,490**	**272,603**	**2%**	**6,113**
Less: accumulated depreciation	(67,458)	(79,390)	(83,778)	(89,349)	(93,950)	(98,485)	(100,180)	2%	(1,695)
Add: assets not yet in service	35,136	50,597	55,641	61,700	69,856	78,592	108,597	38%	30,005
Property and equipment, net	**134,345**	**171,036**	**185,062**	**203,231**	**223,787**	**246,597**	**281,020**	**14%**	**34,423**
Technical infrastructure split (% of total)									
Servers and network equipment	60%	50%	60%	60%	60%	60%	60%		
Data center land & buildings & related	40%	50%	40%	40%	40%	40%	40%		
Average Age	**5.1**	**5.2**	**4.7**	**4.5**	**4.2**	**4.1**	**3.9**		
Y/Y growth	*31.1%*	*2.4%*	*-9.0%*	*-9.0%*	*-13.2%*	*-13.6%*	*-17.2%*		
Q/Q growth			*-1.1%*	*-4.3%*	*-6.3%*	*-2.6%*	*-5.2%*		
Implied Useful Life	**11.7**	**12.0**	**11.9**	**11.5**	**11.0**	**11.0**	**10.5**		
Y/Y growth	*33.1%*	*2.7%*	*-7.6%*	*-6.5%*	*-8.4%*	*-7.2%*	*-11.5%*		
Q/Q growth			*0.0%*	*-2.8%*	*-4.4%*	*-0.1%*	*-4.7%*		

Source: Company Reports, J.P. Morgan estimates

- **5) Purchase Commitments & Other Contractual Obligations (pages 27 & 47):** *"As of March 31, 2026, we had material purchase commitments and other contractual obligations totaling $332.4 billion, of which $138.0 billion was short-term."*

  - **Our Take:** As of 1Q26, Google had $232.7B in future fixed/minimum guaranteed commitments—primarily long-term supply agreements for technical infrastructure & inventory components, energy service agreements for data centers (terms of 2-20 years, extending through 2047 w/take-or-pay provisions & substantive termination fees), and content licenses—with the supply & content commitments expected to be paid through 2030. The broader all-in purchase commitments & other contractual obligations totaled $332.4B ($138.0B short-term), which includes the $232.7B above plus open purchase orders & other shorter-term obligations.

- **6) Investment in a Private Company (pages 40 & 48):** *"In March 2026, we committed to a $40.0 billion investment in a private company consisting of a $10.0 billion capital commitment and $30.0 billion of future capital funding contingent upon the achievement of specified operational and financial milestones."*

  - **Our Take:** Google's $40B investment commitment to Anthropic was signed in March 2026. The deal consists of a $10B capital commitment—expected to be funded in 2Q26 as a non-marketable security—and $30B of future capital funding contingent upon the achievement of specific milestones through 2030, with the contingent portion accounted for as an equity derivative.

- **7) Backstop Exposure (pages 18, 28, 48, & 51):** *"As of March 31, 2026, we provided backstops in the form of financial guarantees and credit derivatives with maximum potential amount of future payments of $9.0 billion and $28.4 billion, respectively...We have also entered into an agreement to provide up to $33.3 billion of future backstops to support the buildout of data center and energy supply infrastructure, subject to finalization of terms with data center providers."*

  - **Our Take:** Google has accumulated up to ~$70.7B in total backstop

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exposure ($28.4B credit derivatives + $9B financial guarantees as of 1Q26, plus $33.3B in future commitments of which $15.3B was executed in April) to support 3P data center & energy infrastructure buildouts. A new risk factor (page 51) notes that these arrangements could result in additional liabilities, excess capacity, or counterparty nonperformance risk.

- ***8) GFiber Deconsolidation (pages 26, 40, & 48):*** *"In March 2026, we entered into a definitive agreement to contribute our ownership interest in GFiber, a wholly owned subsidiary, into a newly formed entity."*

  - **Our Take:** Google is de-consolidating GFiber (included in Other Bets) via contribution into a newly formed entity (expected close late 2026), receiving $1.5B cash, a $2.0B note, & retaining a 49.99% equity interest accounted for under the equity method. GFiber was classified as held for sale in 1Q26 with $6.8B of PP&E reclassified to other current assets & depreciation ceased. The operating results of GFiber will remain included within the Other Bets segment through the close of the transaction.

- ***9) AdTech trial (page 29):*** *"Closing arguments were held in November 2025, and we are awaiting a final judgment. After that judgment, we plan to appeal the adverse portion of the April 2025 decision and potentially aspects of the remedies decision. A trial in the state Attorneys General case in the Eastern District of Texas will take place after a decision on remedies is issued in the DOJ case."*

  - **Our Take:** While the ad tech trial will continue to generate headlines, we note that Network accounts for 6-7% of Alphabet Gross Revenue and 2-3% of Net Revenue. We believe investor expectations for the outcome of this case are low, and with appeal a final decision may still be years away.

Note: Anthropic is covered by JP Morgan private research analyst Brenda Duverce.

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Model Pages

Figure 6: Alphabet Income Statement

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenues	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**117,416.3**	**125,031.5**	**140,365.7**	**492,709.5**	**604,471.1**
Traffic Acquisition Costs (TAC)	54,900.0	13,748	14,705	14,876	16,597	59,926.0	15,228	15,710.4	16,085.6	17,725.8	64,749.9	70,938.9
Net Revenues excluding TAC	**295,118.0**	**76,486**	**81,723**	**87,470**	**97,231**	**342,910.0**	**94,668**	**101,705.9**	**108,945.9**	**122,639.9**	**427,959.7**	**533,532.3**
Other cost of revenues	91,406.0	22,613	24,334	26,493	29,169	102,609.0	26,043	30,206.6	33,337.5	37,895.7	127,482.8	168,062.7
Gross profit	**203,712.0**	**53,873**	**57,389**	**60,977**	**68,062**	**240,301.0**	**68,625**	**71,499.2**	**75,608.5**	**84,744.2**	**300,476.9**	**365,469.6**
Operating expenses			R&D ex. Waymo comp charge		16,472							
Research & development	49,326.0	13,556	13,808	15,151	18,572	61,087.0	17,032	17,391.7	18,847.6	20,112.9	73,384.3	88,032.8
Sales & marketing	27,808.0	6,172	7,101	7,205	8,215	28,693.0	7,606	8,645.0	8,715.7	9,811.2	34,777.9	40,548.5
General & administrative	14,188.0	3,539	5,209	3,936	5,341	18,025.0	4,291	5,085.3	5,229.4	6,867.8	21,473.5	22,941.9
Other 1x item, incl. Impairment charge	0.0	0	0	3,457	0	3,457.0	0	0.0	0.0	0.0	0.0	
Total operating expenses	91,322.0	23,267	26,118	29,749	32,128	111,262.0	28,929	31,122.0	32,792.7	36,792.0	129,635.7	151,523.2
GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**39,696**	**40,377.2**	**42,815.7**	**47,952.2**	**170,841.2**	**213,946.4**
Non-GAAP Operating income	**112,390.0**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039.0**	**39,696**	**40,377.2**	**42,815.7**	**47,952.2**	**170,841.2**	**213,946.4**
JPMe Adjusted Operating income	**135,175.0**	**36,122**	**37,269**	**41,053**	**43,005**	**157,449.0**	**46,447**	**47,801.8**	**50,768.8**	**55,923.8**	**200,941.3**	**249,159.6**
Other income, expense and other, net	7,425.0	11,183	2,662	12,759	3,183	29,787.0	37,716	553.3	498.8	443.7	39,211.8	419.9
Income before taxes	119,815.0	41,789	33,933	43,987	39,117	158,826.0	77,412	40,930.5	43,314.6	48,395.9	210,053.0	214,366.4
Provision for income taxes	19,697.0	7,249	5,737	9,008	4,662	26,656.0	14,834	6,958.2	7,363.5	8,227.3	37,383.0	36,442.3
Effective tax rate	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*19.2%*	*17.0%*	*17.0%*	*17.0%*	*17.8%*	*17.0%*
Discontinued Operations - Motorola												
GAAP Net Income (loss)	**100,118.0**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170.0**	**62,578**	**33,972.3**	**35,951.1**	**40,168.6**	**172,670.0**	**177,924.1**
GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$5.11**	**$2.76**	**$2.91**	**$3.24**	**$14.02**	**$14.31**
Diluted shares outstanding	12,447.3	12,291	12,198	12,203	12,228	12,230.0	12,238	12,287.0	12,336.1	12,385.4	12,311.6	12,434.7
Alphabet Non-GAAP reconciliation												
Adj. for One-time item	0.0	0.0	0.0	3,457.0	0.0	3,457.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Net Income (loss)	**100,118.0**	**34,540.0**	**28,196.0**	**38,436.0**	**34,455.0**	**135,627.0**	**62,578.0**	**33,972.3**	**35,951.1**	**40,168.6**	**172,670.0**	**177,924.1**
Non-GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$3.15**	**$2.82**	**$11.09**	**$5.11**	**$2.76**	**$2.91**	**$3.24**	**$14.02**	**$14.31**
Non-recurring items:												
Stock compensation expense	22,785.0	5,516.0	5,998.0	6,368.0	7,071.0	24,953.0	6,751.0	7,424.5	7,953.1	7,971.6	30,100.2	35,213.1
One-time items	(2,943.0)	(10,182.0)	(1,612.0)	(8,226.0)	(1,973.0)	(21,993.0)	(36,335.0)	784.6	784.6	784.6	(33,981.3)	3,090.3
Tax Effect	(3,208.3)	809.4	(741.5)	380.5	(607.6)	(159.2)	5,669.0	(1,395.5)	(1,485.4)	(1,488.5)	1,299.5	(6,511.6)
Adjusted Net Income (loss)	**116,751.7**	**30,683.4**	**31,840.5**	**33,501.5**	**38,945.4**	**134,970.8**	**38,663.0**	**40,785.9**	**43,203.3**	**47,436.2**	**170,088.4**	**209,715.9**
Adj. EPS - Diluted	**$9.38**	**$2.50**	**$2.61**	**$2.75**	**$3.18**	**$11.04**	**$3.16**	**$3.32**	**$3.50**	**$3.83**	**$13.82**	**$16.87**
Diluted shares outstanding	12,447.3	12,291.0	12,198.0	12,203.0	12,228.0	12,230.0	12,238.0	12,287.0	12,336.1	12,385.4	12,311.6	12,434.7
Adj. EBITDA Reconciliation												
Operating income (adj. for 1x item as noted)	112,390.0	30,606	31,271	34,685	35,934	132,496.0	39,696	40,377.2	42,815.7	47,952.2	170,841.2	213,946.4
Depreciation & amortization	15,311.0	4,487	4,998	5,611	6,040	21,136.0	6,482	8,136.5	9,478.3	11,037.6	35,134.4	59,222.1
Stock compensation expense	22,785.0	5,516	5,998	6,368	7,071	24,953.0	6,751	7,424.5	7,953.1	7,971.6	30,100.2	35,213.1
Adj. EBITDA	**150,486.0**	**40,609**	**42,267**	**46,664**	**49,045**	**178,585.0**	**52,929**	**55,938.2**	**60,247.1**	**66,961.4**	**236,075.7**	**308,381.6**
Year/Year Growth	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26A**	**6/26E**	**9/26E**	**12/26E**	**2026E**	**2027E**
Gross Revenues (FXHN)	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Gross Revenues	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
Traffic Acquisition Costs (TAC)	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*6.8%*	*8.1%*	*6.8%*	*8.0%*	*9.6%*
Net Revenues	***15.1%***	***13.2%***	***14.5%***	***17.3%***	***19.1%***	***16.2%***	***23.8%***	***24.5%***	***24.6%***	***26.1%***	***24.8%***	***24.7%***
Other cost of revenues	*10.9%*	*8.9%*	*10.0%*	*16.4%*	*13.2%*	*12.3%*	*15.2%*	*24.1%*	*25.8%*	*29.9%*	*24.2%*	*31.8%*
Gross profit	***17.0%***	***15.0%***	***16.6%***	***17.7%***	***21.9%***	***18.0%***	***27.4%***	***24.6%***	***24.0%***	***24.5%***	***25.0%***	***21.6%***
Research & development	*8.6%*	*13.9%*	*16.4%*	*21.7%*	*41.6%*	*23.8%*	*25.6%*	*26.0%*	*24.4%*	*8.3%*	*20.1%*	*20.0%*
Sales & marketing	*-0.4%*	*-4.0%*	*4.5%*	*-0.3%*	*11.6%*	*3.2%*	*23.2%*	*21.7%*	*21.0%*	*19.4%*	*21.2%*	*16.6%*
General & administrative	*-13.6%*	*17.0%*	*64.9%*	*9.4%*	*21.2%*	*27.0%*	*21.2%*	*-2.4%*	*32.9%*	*28.6%*	*19.1%*	*6.8%*
Total operating expenses	***1.7%***	***9.0%***	***19.8%***	***27.8%***	***29.1%***	***21.8%***	***24.3%***	***19.2%***	***10.2%***	***14.5%***	***16.5%***	***16.9%***
GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***29.1%***	***37.1%***	***33.4%***	***32.4%***	***25.2%***
Non-GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***29.1%***	***37.1%***	***33.4%***	***32.4%***	***25.2%***
JPMe Adjusted Operating income	***26.6%***	***17.5%***	***12.0%***	***19.5%***	***16.9%***	***16.5%***	***28.6%***	***28.3%***	***23.7%***	***30.0%***	***27.6%***	***24.0%***
Depreciation & amortization	*28.2%*	*31.5%*	*34.8%*	*40.8%*	*43.6%*	*38.0%*	*44.5%*	*62.8%*	*68.9%*	*82.7%*	*66.2%*	*68.6%*
Stock compensation expense	*1.4%*	*4.8%*	*2.3%*	*8.9%*	*21.7%*	*9.5%*	*22.4%*	*23.8%*	*24.9%*	*12.7%*	*20.6%*	*17.0%*
EBITDA	*24.9%*	*18.9%*	*14.2%*	*21.7%*	*19.7%*	*18.7%*	*30.3%*	*32.3%*	*29.1%*	*36.5%*	*32.2%*	*30.6%*
GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*81.2%*	*20.5%*	*2.8%*	*16.6%*	*30.6%*	*3.0%*
GAAP EPS	***38.7%***	***48.8%***	***22.3%***	***35.3%***	***31.1%***	***34.4%***	***82.0%***	***19.6%***	***1.7%***	***15.1%***	***29.8%***	***2.0%***
Non-GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*46.1%*	*29.8%*	*35.5%*	*81.2%*	*20.5%*	*-6.5%*	*16.6%*	*27.3%*	*3.0%*
Non-GAAP EPS	*38.7%*	*48.8%*	*22.3%*	*48.7%*	*31.1%*	*37.9%*	*82.0%*	*19.6%*	*-7.5%*	*15.1%*	*26.5%*	*2.0%*
JPMe Adjusted Net Income (loss)	*22.5%*	*15.5%*	*8.0%*	*13.4%*	*25.0%*	*15.6%*	*26.0%*	*28.1%*	*29.0%*	*21.8%*	*26.0%*	*23.3%*
JPMe Adjusted EPS	*25.2%*	*17.7%*	*10.7%*	*15.4%*	*26.2%*	*17.7%*	*26.6%*	*27.2%*	*27.6%*	*20.3%*	*25.2%*	*22.1%*
GAAP expenses as % of Net Revenues												
Other cost of revenues (non-TAC)	31.0%	29.6%	29.8%	30.3%	30.0%	29.9%	27.5%	29.7%	30.6%	30.9%	29.8%	31.5%
Research & development	16.7%	17.7%	16.9%	17.3%	19.1%	17.8%	18.0%	17.1%	17.3%	16.4%	17.1%	16.5%
Sales & marketing	9.4%	8.1%	8.7%	8.2%	8.4%	8.4%	8.0%	8.5%	8.0%	8.0%	8.1%	7.6%
General & administrative	4.8%	4.6%	6.4%	4.5%	5.5%	5.3%	4.5%	5.0%	4.8%	5.6%	5.0%	4.3%
Stock compensation expense	7.7%	7.2%	7.3%	7.3%	7.3%	7.3%	7.1%	7.3%	7.3%	6.5%	7.0%	6.6%
GAAP expenses as % of Gross Revenues												
Traffic Acquisition Costs (TAC)	15.7%	15.2%	15.2%	14.5%	14.6%	14.9%	13.9%	13.4%	12.9%	12.6%	13.1%	11.7%
Other cost of revenues (non-TAC)	26.1%	25.1%	25.2%	25.9%	25.6%	25.5%	23.7%	25.7%	26.7%	27.0%	25.9%	27.8%
Research & development	14.1%	15.0%	14.3%	14.8%	16.3%	15.2%	15.5%	14.8%	15.1%	14.3%	14.9%	14.6%
Sales & marketing	7.9%	6.8%	7.4%	7.0%	7.2%	7.1%	6.9%	7.4%	7.0%	7.0%	7.1%	6.7%
General & administrative	4.1%	3.9%	5.4%	3.8%	4.7%	4.5%	3.9%	4.3%	4.2%	4.9%	4.4%	3.8%
Stock compensation expense	6.5%	6.1%	6.2%	6.2%	6.2%	6.2%	6.1%	6.3%	6.4%	5.7%	6.1%	5.8%
Margin as % of Gross Revenues												
Gross margin	58.2%	59.7%	59.5%	59.6%	59.8%	59.7%	62.4%	60.9%	60.5%	60.4%	61.0%	60.5%
GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
Non-GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
JPMe Adjusted Operating margin	**38.6%**	**40.0%**	**38.6%**	**40.1%**	**37.8%**	**39.1%**	**42.3%**	**40.7%**	**40.6%**	**39.8%**	**40.8%**	**41.2%**
Net margin	28.6%	38.3%	29.2%	34.2%	30.3%	32.8%	56.9%	28.9%	28.8%	28.6%	35.0%	29.4%
Adj. EBITDA	**43.0%**	**45.0%**	**43.8%**	**45.6%**	**43.1%**	**44.3%**	**48.2%**	**47.6%**	**48.2%**	**47.7%**	**47.9%**	**51.0%**
Operating Leverage/Flow-through	**70.5%**	**66.6%**	**45.1%**	**59.0%**	**46.4%**	**53.2%**	**62.7%**	**65.1%**	**59.9%**	**67.5%**	**64.0%**	**64.7%**

Source: J.P. Morgan estimates, Company data.

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Figure 7: Alphabet Revenue Drivers

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
Gross Revenue Summary												
Google Search & other	198,084.0	50,702	54,190	56,567	63,073	224,532.0	60,399	63,209.9	64,819.7	72,010.0	260,438.5	294,166.9
Y/Y growth	*13.2%*	*9.8%*	*11.7%*	*14.5%*	*16.7%*	*13.4%*	*19.1%*	*16.6%*	*14.6%*	*14.2%*	*16.0%*	*13.0%*
FXHN Y/Y growth (estimate)	*14.1%*	*11.8%*	*11.1%*	*13.0%*	*15.4%*	*12.9%*	*15.9%*	*16.0%*	*15.0%*	*14.0%*	*15.2%*	*13.0%*
YouTube ads	36,147.0	8,927	9,796	10,261	11,383	40,367.0	9,883	10,638.5	11,042.3	12,425.9	43,989.7	47,927.8
Y/Y growth	*14.7%*	*10.3%*	*13.1%*	*15.0%*	*8.7%*	*11.7%*	*10.7%*	*8.6%*	*7.6%*	*9.2%*	*9.0%*	*9.0%*
FXHN Y/Y growth (estimate)	*15.7%*	*12.3%*	*12.4%*	*13.5%*	*7.4%*	*11.2%*	*7.7%*	*8.0%*	*8.0%*	*9.0%*	*8.2%*	*9.0%*
Google Properties	234,231.0	59,629	63,986	66,828	74,456	264,899.0	70,282	73,848.4	75,861.9	84,435.9	304,428.2	342,094.7
Y/Y growth	*13.4%*	*9.9%*	*11.9%*	*14.6%*	*15.4%*	*13.1%*	*17.9%*	*15.4%*	*13.5%*	*13.4%*	*14.9%*	*12.4%*
FXHN Y/Y growth (estimate)	*14.4%*	*11.9%*	*11.3%*	*13.1%*	*14.1%*	*12.6%*	*14.6%*	*14.8%*	*13.9%*	*13.2%*	*14.1%*	*12.4%*
Q/Q growth		*-7.6%*	*7.3%*	*4.4%*	*11.4%*		*-5.6%*	*5.1%*	*2.7%*	*11.3%*		
Google Network Members' properties	30,359.0	7,256	7,354	7,354	7,828	29,792.0	6,971	6,877.2	6,961.3	7,447.6	28,257.2	27,115.1
Y/Y growth	*-3.0%*	*-2.1%*	*-1.2%*	*-2.6%*	*-1.6%*	*-1.9%*	*-3.9%*	*-6.5%*	*-5.3%*	*-4.9%*	*-5.2%*	*-4.0%*
FXHN Y/Y growth (estimate)	*-2.2%*	*-0.4%*	*-1.8%*	*-3.8%*	*-2.7%*	*-2.2%*	*-6.6%*	*-7.0%*	*-5.0%*	*-5.0%*	*-5.9%*	*-4.0%*
Q/Q growth		*-8.8%*	*1.4%*	*0.0%*	*6.4%*		*-10.9%*	*-1.3%*	*1.2%*	*7.0%*		
Google advertising	264,590.0	66,885	71,340	74,182	82,284	294,691.0	77,253	80,725.6	82,823.3	91,883.5	332,685.4	369,209.7
Y/Y growth	*11.2%*	*8.5%*	*10.4%*	*12.6%*	*13.6%*	*11.4%*	*15.5%*	*13.2%*	*11.6%*	*11.7%*	*12.9%*	*11.0%*
FXHN Y/Y growth	*12.2%*	*10.4%*	*9.8%*	*11.2%*	*12.2%*	*10.9%*	*12.3%*	*12.5%*	*12.0%*	*11.5%*	*12.1%*	*11.0%*
Google subscriptions, platforms, and devices	40,340.0	10,379	11,203	12,870	13,578	48,030.0	12,384	13,067.7	14,875.9	15,773.9	56,101.5	63,366.9
Y/Y growth	*16.3%*	*18.8%*	*20.3%*	*20.8%*	*16.7%*	*19.1%*	*19.3%*	*16.6%*	*15.6%*	*16.2%*	*16.8%*	*13.0%*
FXHN Y/Y growth (estimate)	*17.3%*	*20.9%*	*19.6%*	*19.2%*	*15.4%*	*18.6%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*	*16.0%*	*13.0%*
Q/Q growth		*-10.8%*	*7.9%*	*14.9%*	*5.5%*		*-8.8%*	*5.5%*	*13.8%*	*6.0%*		
Google Services total	304,930.0	77,264	82,543	87,052	95,862	342,721.0	89,637	93,793.3	97,699.2	107,657.4	388,786.9	432,576.7
Y/Y growth	*11.9%*	*9.8%*	*11.7%*	*13.8%*	*14.0%*	*12.4%*	*16.0%*	*13.6%*	*12.2%*	*12.3%*	*13.4%*	*11.3%*
FXHN Y/Y growth	*12.8%*	*11.7%*	*11.0%*	*12.3%*	*12.7%*	*12.0%*	*12.8%*	*13.0%*	*12.6%*	*12.1%*	*12.6%*	*11.3%*
Google Cloud	43,229.0	12,260	13,624	15,157	17,664	58,705.0	20,028	23,289.6	26,732.0	32,196.2	102,245.8	168,631.9
Y/Y growth	*30.6%*	*28.1%*	*31.7%*	*33.5%*	*47.8%*	*35.8%*	*63.4%*	*70.9%*	*76.4%*	*82.3%*	*74.2%*	*64.9%*
FXHN Y/Y growth (estimate)	*31.8%*	*30.4%*	*30.9%*	*31.8%*	*46.0%*	*35.2%*	*58.9%*	*70.0%*	*77.0%*	*82.0%*	*73.1%*	*65.0%*
Q/Q growth		*2.6%*	*11.1%*	*11.3%*	*16.5%*		*13.4%*	*16.3%*	*14.8%*	*20.4%*		
Other Bets	1,648.0	450	373	344	370	1,537.0	411	462.9	511.1	553.6	1,938.5	3,218.8
Y/Y growth	*7.9%*	*-9.1%*	*2.2%*	*-11.3%*	*-7.5%*	*-6.7%*	*-8.7%*	*24.1%*	*48.6%*	*49.6%*	*26.1%*	*66.0%*
Hedging gains (losses)	211.0	260	(112)	(207)	(68)	(127.0)	(180)	(129.5)	89.2	(41.5)	(261.7)	43.8
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
FXHN Y/Y growth	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Q/Q growth		*-6.5%*	*6.9%*	*6.1%*	*11.2%*		*-3.5%*	*6.8%*	*6.5%*	*12.3%*		
Seasonality		22.4%	23.9%	25.4%	28.3%		22.3%	23.8%	25.4%	28.5%		
Gross Revenue Share by Segment												
Google Search & other	56.6%	56.2%	56.2%	55.3%	55.4%	55.7%	55.0%	53.8%	51.8%	51.3%	52.9%	48.7%
YouTube ads	10.3%	9.9%	10.2%	10.0%	10.0%	10.0%	9.0%	9.1%	8.8%	8.9%	8.9%	7.9%
Google Network Members' properties	8.7%	8.0%	7.6%	7.2%	6.9%	7.4%	6.3%	5.9%	5.6%	5.3%	5.7%	4.5%
Google advertising	**75.6%**	**74.1%**	**74.0%**	**72.5%**	**72.3%**	**73.2%**	**70.3%**	**68.8%**	**66.2%**	**65.5%**	**67.5%**	**61.1%**
Google subscriptions, platforms, and devices	11.5%	11.5%	11.6%	12.6%	11.9%	11.9%	11.3%	11.1%	11.9%	11.2%	11.4%	10.5%
Google Services total	**87.1%**	**85.6%**	**85.6%**	**85.1%**	**84.2%**	**85.1%**	**81.6%**	**79.9%**	**78.1%**	**76.7%**	**78.9%**	**71.6%**
Google Cloud	**12.4%**	**13.6%**	**14.1%**	**14.8%**	**15.5%**	**14.6%**	**18.2%**	**19.8%**	**21.4%**	**22.9%**	**20.8%**	**27.9%**
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.5%
Hedging gains (losses)	0.1%	0.3%	-0.1%	-0.2%	-0.1%	0.0%	-0.2%	-0.1%	0.1%	0.0%	-0.1%	0.0%
TAC Analysis												
Total Traffic Acquisition Costs (TAC)	**54,900.0**	**13,748**	**14,705**	**14,876**	**16,597**	**59,926.0**	**15,228**	**15,710.4**	**16,085.6**	**17,725.8**	**64,749.9**	**70,938.9**
Y/Y growth	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*6.8%*	*8.1%*	*6.8%*	*8.0%*	*9.6%*
TAC as a % of Total Gross Adv. Revenues	**20.7%**	**20.6%**	**20.6%**	**20.1%**	**20.2%**	**20.3%**	**19.7%**	**19.5%**	**19.4%**	**19.3%**	**19.5%**	**19.2%**
TAC as a % of Total Ads Gross Revs ex. YT	**24.0%**	**23.7%**	**23.9%**	**23.3%**	**23.4%**	**23.6%**	**22.6%**	**22.4%**	**22.4%**	**22.3%**	**22.4%**	**22.1%**
Net Revenue Summary												
Google Properties - Net Revenues	200,159.4	50,756.2	54,394.4	56,815.6	63,197.5	225,163.6	59,470.6	62,470.6	64,162.0	71,402.1	257,505.2	288,262.1
Y/Y growth	*13.0%*	*9.6%*	*11.1%*	*14.2%*	*14.7%*	*12.5%*	*17.2%*	*14.8%*	*12.9%*	*13.0%*	*14.4%*	*11.9%*
Q/Q growth		*-7.9%*	*7.2%*	*4.5%*	*11.2%*		*-5.9%*	*5.0%*	*2.7%*	*11.3%*		
Google Network Members' Properties - Net Revenu	9,530.6	2,380.9	2,240.6	2,490.4	2,489.5	9,601.4	2,554.4	2,544.6	2,575.7	2,755.6	10,430.3	10,008.7
Y/Y growth	*-2.9%*	*-1.0%*	*-0.6%*	*5.0%*	*-0.3%*	*0.7%*	*7.3%*	*13.6%*	*3.4%*	*10.7%*	*8.6%*	*-4.0%*
Google Advertising - Net Revenues	**209,690.0**	**53,137.0**	**56,635.0**	**59,306.0**	**65,687.0**	**234,765.0**	**62,025.0**	**65,015.2**	**66,737.7**	**74,157.7**	**267,935.6**	**298,270.9**
Y/Y growth	*12.2%*	*9.1%*	*10.6%*	*13.8%*	*14.0%*	*12.0%*	*16.7%*	*14.8%*	*12.5%*	*12.9%*	*14.1%*	*11.3%*
Non-Advertising - Net Revenues	**85,428.0**	**23,349.0**	**25,088.0**	**28,164.0**	**31,544.0**	**108,145.0**	**32,643.0**	**36,690.7**	**42,208.2**	**48,482.2**	**160,024.1**	**235,261.4**
Y/Y growth	*22.8%*	*23.7%*	*24.7%*	*25.7%*	*31.4%*	*26.6%*	*39.8%*	*46.2%*	*49.9%*	*53.7%*	*48.0%*	*47.0%*
Alphabet Net Revenues	**295,118.0**	**76,486.0**	**81,723.0**	**87,470.0**	**97,231.0**	**342,910.0**	**94,668.0**	**101,705.9**	**108,945.9**	**122,639.9**	**427,959.7**	**533,532.3**
Y/Y growth	*15.1%*	*13.2%*	*14.5%*	*17.3%*	*19.1%*	*16.2%*	*23.8%*	*24.5%*	*24.6%*	*26.1%*	*24.8%*	*24.7%*
Q/Q growth		*-6.3%*	*6.8%*	*7.0%*	*11.2%*		*-2.6%*	*7.4%*	*7.1%*	*12.6%*		
Seasonality		22.3%	23.8%	25.5%	28.4%		22.1%	23.8%	25.5%	28.7%		
Net Revenue Share by Segment												
Google Properties as % of Alphabet Net Revenues	67.8%	66.4%	66.6%	65.0%	65.0%	65.7%	62.8%	61.4%	58.9%	58.2%	60.2%	54.0%
Google Network Members' Properties as % of Alphab	3.2%	3.1%	2.7%	2.8%	2.6%	2.8%	2.7%	2.5%	2.4%	2.2%	2.4%	1.9%
Google Advertising as % of Alphabet Net Revenue	**71.1%**	**69.5%**	**69.3%**	**67.8%**	**67.6%**	**68.5%**	**65.5%**	**63.9%**	**61.3%**	**60.5%**	**62.6%**	**55.9%**
Google Other & Other Bets as % of Alphabet Net F	**28.9%**	**30.5%**	**30.7%**	**32.2%**	**32.4%**	**31.5%**	**34.5%**	**36.1%**	**38.7%**	**39.5%**	**37.4%**	**44.1%**

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
MONETIZATION												
Google Search & Other												
Paid Clicks Change												
Y/Y growth	5%	2%	4%	7%	10%	6%	13%					
QTD Y/Y growth		2%	3%	4%	6%		13%					
Cost-per-Click Change												
Y/Y growth	7%	7%	8%	7%	6%	7%	5%					
QTD Y/Y growth		7%	8%	7%	7%		5%					

Source: J.P. Morgan estimates, Company data.

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Figure 8: Alphabet Revenue Drivers (Cont'd)

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
Geographic Breakdown												
Alphabet total revenues (gross)	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	*13.9%*	*12%*	*14%*	*16%*	*18%*	*15.1%*	*22%*	*21.8%*	*22.2%*	*23.3%*	*22.3%*	*22.7%*
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
Q/Q growth		*-6%*	*7%*	*6%*	*11%*		*-3%*	*6.8%*	*6.5%*	*12.3%*		
Geographic Breakdown												
United States	170,447.0	43,964	46,063	48,758	55,444	194,229.0	53,975	58,039.4	62,654.0	72,077.2	246,745.6	319,535.6
Y/Y growth	***16.5%***	***13%***	***12%***	***13%***	***17%***	***14.0%***	***23%***	***26.0%***	***28.5%***	***30.0%***	***27.0%***	***29.5%***
Q/Q growth		*-7%*	*5%*	*6%*	*14%*		*-3%*	*7.5%*	*8.0%*	*15.0%*		
U.S. revenues as % of Gross Revenues	48.7%	49%	48%	48%	49%	48.2%	49%	49.4%	50.1%	51.3%	50.1%	52.9%
International	179,360.0	46,010	50,477	53,795	58,452	208,734.0	56,101	59,506.4	62,288.3	68,330.0	246,225.6	284,891.8
Y/Y growth	*11.5%*	*10%*	*16%*	*19%*	*19%*	*16.4%*	*22%*	*17.9%*	*15.8%*	*16.9%*	*18.0%*	*15.7%*
FXHN Y/Y growth	*13.3%*	*14%*	*15%*	*16%*	*16%*	*15.5%*	*15%*	*16.6%*	*16.6%*	*16.5%*	*16.3%*	*15.8%*
Q/Q growth		*-6%*	*10%*	*7%*	*9%*		*-4%*	*6.1%*	*4.7%*	*9.7%*		
International revenues as % of Gross Revenues	51.2%	51%	52%	53%	51%	51.8%	51%	50.7%	49.8%	48.7%	50.0%	47.1%
Hedging Gains (Losses)	211.0	260.0	(112.0)	(207.0)	(68.0)	(127.0)	(180.0)	(129.5)	89.2	(41.5)	(261.7)	43.8
Internation Breakdown (excl. Hedge post-1Q17 change)												
EMEA	102,127.0	25,923	28,262	29,911	33,056	117,152.0	31,468	32,738.6	33,717.5	37,478.8	135,402.9	151,407.2
Y/Y growth	*12.2%*	*9%*	*14%*	*17%*	*17%*	*14.7%*	*21%*	*15.8%*	*12.7%*	*13.4%*	*15.6%*	*11.8%*
FXHN Y/Y growth	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***13.0%***	***13.0%***	***13.0%***	***12.7%***	***12.0%***
Q/Q growth		*-8%*	*9%*	*6%*	*11%*		*-5%*	*4.0%*	*3.0%*	*11.2%*		
EMEA as a % of Gross Revenues	29.2%	29%	29%	29%	29%	29.1%	29%	27.9%	27.0%	26.7%	27.5%	25.0%
APAC	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,288	19,775.3	21,234.4	22,456.0	81,753.7	99,461.7
Y/Y growth	*10.3%*	*12%*	*19%*	*22%*	*22%*	*19.1%*	*23%*	*20.0%*	*19.2%*	*21.2%*	*20.8%*	*21.7%*
FXHN Y/Y growth	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***23.0%***	***22.9%***	***22.7%***	***22.7%***	***22.0%***
Q/Q growth		*-2%*	*11%*	*8%*	*4%*		*-1%*	*8.1%*	*7.4%*	*5.8%*		
APAC as a % of Gross Revenues	16.2%	16%	17%	17%	16%	16.8%	17%	16.8%	17.0%	16.0%	16.6%	16.5%
Other Americas (Canada and LatAm)	20,418.0	5,233	5,735	6,065	6,869	23,902.0	6,345	6,992.5	7,336.3	8,395.1	29,069.0	34,022.8
Y/Y growth	*11.5%*	*12%*	*16%*	*19%*	*20%*	*17.1%*	*21%*	*21.9%*	*21.0%*	*22.2%*	*21.6%*	*17.0%*
FXHN Y/Y growth	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***16.0%***	***16.0%***	***17.0%***	***15.9%***	***16.0%***
Q/Q growth		*-9%*	*10%*	*6%*	*13%*		*-8%*	*10.2%*	*4.9%*	*14.4%*		
Other Americas as a % of Gross Revenues	5.8%	6%	6%	6%	6%	5.9%	6%	6.0%	5.9%	6.0%	5.9%	5.6%
Foreign Exchange Impact on Gross Revenue												
Total Gross Revenue	350,018.0	90,234	96,428	102,346	113,828	402,836.0	109,896	117,416.3	125,031.5	140,365.7	492,709.5	604,471.1
Y/Y growth	***13.9%***	***12%***	***14%***	***16%***	***18%***	***15.1%***	***22%***	***21.8%***	***22.2%***	***23.3%***	***22.3%***	***22.7%***
Q/Q growth		***-6%***	***7%***	***6%***	***11%***		***-3%***	***6.8%***	***6.5%***	***12.3%***		
Y/Y Foreign Exchange Impact	(2,939.0)	(1,605)	543	1,339	1,331	1,608.0	3,005	647.3	(446.1)	207.3	3,413.5	(219.1)
	-7%	-16%	-21%	-15%	-5%	-8%	-6%	-20%	-20%	-20%	-8%	-20%
Cash Flow Hedging Impact	211.0	260	(112)	(207)	(68)	(127.0)	(180)	(129.5)	89.2	(41.5)	(261.7)	43.8
FXHN Gross Revs. (based on year ago period)	352,746.0	91,579	95,997	101,214	112,565	401,355.0	107,071	116,898.4	125,388.4	140,199.8	489,557.7	604,690.2
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***21.1%***	***22.3%***	***23.1%***	***21.5%***	***22.7%***
BPS of Y/Y growth impacted by FX & Hedging	(97.6)	(177.2)	37.2	126.0	128.5	35.4	278.8	67.8	(10.1)	21.9	82.1	2.1
FX & Hedging Neutral Gross Revs. (based on last quarter)		90,995	94,919	101,635	114,153		109,426	118,125.9	124,761.3	140,365.7		
Q/Q growth (ex-FX & Hedging)		***-6%***	***5%***	***5%***	***12%***		***-4%***	***7.3%***	***6.1%***	***12.3%***		
BPS of Q/Q growth impacted by FX & Hedging		(80.8)	136.8	86.0	(31.8)		47.0	(47.0)	34.7	(8.0)		

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)												
Total Gross EMEA Revenue	102,127.0	25,923	28,262	29,911	33,056	117,152.0	31,468	32,738.6	33,717.5	37,478.8	135,402.9	151,407.2
Y/Y growth	***12.2%***	***9%***	***14%***	***17%***	***17%***	***14.7%***	***21%***	***15.8%***	***12.7%***	***13.4%***	***15.6%***	***11.8%***
Q/Q growth		***-8%***	***9%***	***6%***	***11%***		***-5%***	***4.0%***	***3.0%***	***11.2%***		
Y/Y Foreign Exchange Impact	38.0	(724)	780	1,261	1,438	2,755.0	2,515	802.5	(81.9)	125.6	3,361.1	(244.0)
FXHN Gross Revs. (based on year ago period)	102,089	26,647	27,482	28,650	31,618	114,397.0	28,953	31,936.1	33,799.4	37,353.3	132,041.8	151,651.2
Y/Y growth (excl. FX & Hedging)	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***13.0%***	***13.0%***	***13.0%***	***12.7%***	***12.0%***
BPS of Y/Y growth impacted by FX & Hedging	4.2	(304.4)	316.0	495.1	510.2	269.8	970.2	284.0	(27.4)	38.0	286.9	(18.0)
Y/Y growth in FX	*0.0%*	*-2.7%*	*2.8%*	*4.4%*	*4.5%*	*2.4%*	*8.7%*	*2.5%*	*-0.2%*	*0.3%*	*2.5%*	*-0.2%*
Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)												
Total Gross APAC Revenue	56,815.0	14,854	16,480	17,819	18,527	67,680.0	18,288	19,775.3	21,234.4	22,456.0	81,753.7	99,461.7
Y/Y growth	***10.3%***	***12%***	***19%***	***22%***	***22%***	***19.1%***	***23%***	***20.0%***	***19.2%***	***21.2%***	***20.8%***	***21.7%***
Q/Q growth		***-2%***	***11%***	***8%***	***4%***		***-1%***	***8.1%***	***7.4%***	***5.8%***		
Y/Y Foreign Exchange Impact	(1,369.0)	(381)	115	128	(176)	(314.0)	134	(495.1)	(665.1)	(276.6)	(1,302.8)	(277.8)
FXHN Gross Revs. (based on year ago period)	58,184	15,235	16,365	17,691	18,703	67,994.0	18,154	20,270.4	21,899.6	22,732.6	83,056.6	99,739.6
Y/Y growth (excl. FX & Hedging)	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***23.0%***	***22.9%***	***22.7%***	***22.7%***	***22.0%***
BPS of Y/Y growth impacted by FX & Hedging	(265.8)	(286.7)	83.2	88.0	(116.1)	(55.3)	90.2	(300.4)	(373.3)		(192.5)	(34.0)
Y/Y growth in FX	*-2.4%*	*-2.5%*	*0.7%*	*0.7%*	*-0.9%*	*-0.5%*	*0.7%*	*-2.4%*	*-3.0%*	*-1.2%*	*-1.6%*	*-0.3%*
Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)												
Total Gross Other Americas Revenue	20,418.0	5,233.0	5,735.0	6,065.0	6,869.0	23,902.0	6,345.0	6,992.5	7,336.3	8,395.1	29,069.0	34,022.8
Y/Y growth	***11.5%***	***12%***	***16%***	***19%***	***20%***	***17.1%***	***21%***	***21.9%***	***21.0%***	***22.2%***	***21.6%***	***17.0%***
Q/Q growth		***-9%***	***10%***	***6%***	***13%***		***-8%***	***10.2%***	***4.9%***	***14.4%***		
Y/Y Foreign Exchange Impact	(1,608.0)	(500.0)	(352.0)	(50.0)	69.0	(833.0)	356.0	339.9	300.9	358.4	1,355.3	302.8
FXHN Gross Revs. (based on year ago period)	22,026	5,733	6,087	6,115	6,800	24,735.0	5,989	6,652.6	7,035.4	8,036.7	27,713.7	33,720.0
Y/Y growth (excl. FX & Hedging)	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***16.0%***	***16.0%***	***17.0%***	***15.9%***	***16.0%***
BPS of Y/Y growth impacted by FX & Hedging	(877.7)	(1,074.6)	(712.8)	(98.2)	120.3	(408.0)	680.3	592.7	496.2	521.8	567.0	104.2
Y/Y growth in FX	*-7.3%*	*-8.7%*	*-5.8%*		*1.0%*	*-3.4%*	*5.9%*	*5.1%*	*4.3%*	*4.5%*	*4.9%*	*0.9%*
Headcount												
Ending Full-time Headcount (ex-Motorola)	183,323	185,719	187,103	190,167	190,820	190,820	194,668	196,668	199,668	200,668	200,668	207,691
Y/Y growth	*0.4%*	*2.7%*	*4.2%*	*4.9%*	*4.1%*	*4.1%*	*4.8%*	*5.1%*	*5.0%*	*5.2%*	*5.2%*	*3.5%*
Q/Q growth		*1.3%*	*0.7%*	*1.6%*	*0.3%*		*2.0%*	*1.0%*	*1.5%*	*0.5%*		
Absolute Sequential Change in Headcount	821	2,396	1,384	3,064	653	7,497	3,848	2,000	3,000	1,000	9,848	7,023

Source: J.P. Morgan estimates, Company data.

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Figure 9: Alphabet Segment Reporting

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26E	9/26E	12/26E	2026E	2027E
ALPHABET SEGMENT SUMMARY												
Revenues:												
Google Services	304,930	77,264	82,543	87,052	95,862	342,721	89,637	93,793	97,699	107,657	388,787	432,577
Google Cloud	43,229	12,260	13,624	15,157	17,664	58,705	20,028	23,290	26,732	32,196	102,246	168,632
Other Bets	1,648	450	373	344	370	1,537	411	463	511	554	1,939	3,219
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	(129)	89	(41)	(262)	44
Total Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**117,416**	**125,032**	**140,366**	**492,710**	**604,471**
Total Revenues ex-hedge	349,807	89,974	96,540	102,553	113,896	402,963	110,076	117,546	124,942	140,407	492,971	604,427
GAAP Operating Income (Loss):												
Google Services	121,263	32,682	33,063	33,527	40,132	139,404	40,589	40,519	42,011	46,293	169,411	190,766
Google Cloud	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
Other Bets	(4,444)	(1,226)	(1,246)	(1,426)	(3,617)	(7,515)	(2,100)	(1,592)	(1,690)	(1,804)	(7,186)	(6,809)
Corporate costs, unallocated	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
Total Income from Operations	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,377**	**42,816**	**47,952**	**170,841**	**213,946**
Margins:												
Google Services	39.8%	42.3%	40.1%	38.5%	41.9%	40.7%	45.3%	43.2%	43.0%	43.0%	43.6%	44.1%
Google Cloud	14.1%	17.8%	20.7%	23.7%	30.1%	23.7%	32.9%	30.0%	30.5%	34.0%	32.0%	35.5%
Other Bets	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-343.9%	-330.7%	-325.9%	-370.7%	-211.5%
Corporate costs, unallocated (% of total revenues)	-3.0%	-3.4%	-3.5%	-4.4%	-5.2%	-4.2%	-4.9%	-4.7%	-4.5%	-5.3%	-4.9%	-4.9%
Total Income from Operations	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.4%**	**34.2%**	**34.2%**	**34.7%**	**35.4%**
SEGMENT ANALYSIS												
GOOGLE SERVICES												
Revenue	304,930	77,264	82,543	87,052	95,862	342,721	89,637	93,793	97,699	107,657	388,787	432,577
TAC	54,900	13,748	14,705	14,876	16,597	59,926	15,228	15,710	16,086	17,726	64,750	70,939
Net Revenue	250,030	63,516	67,838	72,176	79,265	282,795	74,409	78,083	81,614	89,932	324,037	361,638
GAAP Costs & Opex	128,767	30,834	34,775	38,649	39,133	143,391	33,820	37,564	39,603	43,639	154,626	170,871
GAAP Operating Income	121,263	32,682	33,063	33,527	40,132	139,404	40,589	40,519	42,011	46,293	169,411	190,766
OI&E	3,493	1,465	1,459	2,199	881	6,004	801	553	499	444	2,297	420
Income before taxes	124,756	34,147	34,522	35,726	41,013	145,408	41,390	41,072	42,509	46,736	171,708	191,186
Income Tax	19,697	7,249	5,737	9,008	4,662	26,656	14,834	6,958	7,363	8,227	37,383	36,442
GAAP Net Income	105,059	26,898	28,785	26,718	36,351	118,752	26,556	34,114	35,146	38,509	134,325	154,744
GAAP EPS	$8.44	$2.19	$2.36	$2.19	$2.97	$9.71	$2.17	$2.78	$2.85	$3.11	$10.91	$12.44
D&A	10,490					13,709					18,662	26,474
SBC	16,161					17,205					19,439	21,413
Adj. EBITDA	147,914					170,317					207,512	238,653
Costs & Expenses As % of Revenue												
TAC	18.0%	17.8%	17.8%	17.1%	17.3%	17.5%	17.0%	16.8%	16.5%	16.5%	16.7%	16.4%
GAAP Costs & Opex	42.2%	39.9%	42.1%	44.4%	40.8%	41.8%	37.7%	40.0%	40.5%	40.5%	39.8%	39.5%
D&A	3.4%					4.0%					4.8%	6.1%
SBC	5.3%					5.0%					5.0%	5.0%
Margins			excl. EC fine	**42.5%**		**41.7%**						
GAAP Operating Income	**39.8%**	**42.3%**	**40.1%**	**38.5%**	**41.9%**	**40.7%**	**45.3%**	**43.2%**	**43.0%**	**43.0%**	**43.6%**	**44.1%**
GOOGLE CLOUD												
Revenue	43,229	12,260	13,624	15,157	17,664	58,705	20,028	23,290	26,732	32,196	102,246	168,632
GAAP Costs & Opex	37,117	10,083	10,798	11,563	12,351	44,795	13,430	16,303	18,579	21,250	69,561	108,768
GAAP Operating Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	6,987	8,153	10,947	32,685	59,864
GAAP EPS	$0.49	$0.18	$0.23	$0.29	$0.43	$1.14	$0.54	$0.57	$0.66	$0.88	$2.65	$4.81
D&A	4,409					6,927					15,848	32,040
SBC	5,879					6,927					9,816	12,900
Adj. EBITDA	16,401					27,764					58,349	104,805
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	85.9%	82.2%	79.3%	76.3%	69.9%	76.3%	67.1%	70.0%	69.5%	66.0%	68.0%	64.5%
D&A	10%					12%					16%	19%
SBC	14%					12%					10%	8%
Margins												
GAAP Operating Income	**14.1%**	**17.8%**	**20.7%**	**23.7%**	**30.1%**	**23.7%**	**32.9%**	**30.0%**	**30.5%**	**34.0%**	**32.0%**	**35.5%**
OTHER BETS												
Revenue	1,648	450	373	344	370	1,537	411	463	511	554	1,939	3,219
GAAP Costs & Opex	6,092	1,676	1,619	1,770	3,987	9,052	2,511	2,055	2,201	2,358	9,125	10,028
Non-GAAP Costs & Opex	4,935					7,731					7,655	8,419
GAAP Operating Income	**(4,444)**	**(1,226)**	**(1,246)**	**(1,426)**	**(3,617)**	**(7,515)**	**(2,100)**	**(1,592)**	**(1,690)**	**(1,804)**	**(7,186)**	**(6,809)**
OI&E	3,932	9,718	1,203	10,560	2,302	23,783	36,915	0	0	0	36,915	0
Income before taxes	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	(1,592)	(1,690)	(1,804)	29,729	(6,809)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	(1,592)	(1,690)	(1,804)	29,729	(6,809)
GAAP EPS	($0.04)	$0.69	($0.00)	$0.75	($0.11)	$1.33	$2.84	($0.13)	($0.14)	($0.15)	$2.41	($0.55)
D&A	412					500					624	708
SBC	745					821					845	900
Adj. EBITDA	(3,287)					(6,194)					(5,716)	(5,200)
Costs & Expenses As % of Revenue												
GAAP Costs & Opex	370%	372%	434%	515%	1078%	589%	611%	444%	431%	426%	471%	312%
Margins												
GAAP Operating Income	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-343.9%	-330.7%	-325.9%	-370.7%	-211.5%
RECONCILING ITEMS												
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	(129)	89	(41)	(262)	44
Corporate costs, unallocated	**8,965**	**3,287**	**3,260**	**3,653**	**5,826**	**16,026**	**5,211**	**5,407**	**5,747**	**7,442**	**23,807**	**29,919**
One-time items	1,787	0	0	607	0	607	0	0	0	0	0	0
GAAP Operating Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
OI&E	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,537)	(5,658)	(7,483)	(24,069)	(29,875)
GAAP EPS	($0.85)	($0.25)	($0.28)	($0.37)	($0.48)	($1.37)	($0.44)	($0.45)	($0.46)	($0.60)	($1.95)	($2.40)
As % of Alphabet Total Revenue ex-hedge												
Corporate costs, unallocated	2.56%	3.65%	3.38%	3.56%	5.12%	3.98%	4.73%	4.60%	4.60%	5.30%	4.83%	4.95%

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Alphabet *(Overweight; Price Target: $460.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is healthy runway across Search & YT ads as AI drives higher ROI. Non-Ad businesses, incl. Cloud & YouTube subscription services, have significant headroom & momentum, and companies within Other Bets, incl. Waymo, provide option value. We remain confident Google's AI full stack advantage & in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
Our December 2026 PT of $460 is based on 32x our '27E GAAP EPS of $14.31, which ex-cash equates to 31x our '27E GAAP EPS ex-Other Bets of $14.86. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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Investment Thesis, Valuation and Risks

Alphabet Inc. *(Overweight; Price Target: $460.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

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Alphabet: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**492,710**	**604,471**	**735,125**
COGS	(162,535)	(192,233)	(239,002)	(297,876)
Gross profit	**240,301**	**300,477**	**365,470**	**437,249**
SG&A	(46,718)	(56,251)	(63,490)	(71,669)
Adj. EBITDA	**178,585**	**236,076**	**308,382**	**397,140**
D&A	(21,136)	(35,134)	(59,222)	(93,367)
Adj. EBIT	**157,449**	**200,941**	**249,160**	**303,773**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**240,153**	**249,580**	**302,085**
Tax	(26,656)	(37,383)	(36,442)	(44,424)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,088**	**209,716**	**253,596**
Reported EPS	10.81	14.02	14.31	17.28
Adj. EPS	**11.04**	**13.82**	**16.87**	**20.20**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	6.2%	6.2%	5.1%
Shares outstanding	12,230	12,312	12,435	12,555

Income Statement - Quarterly	1Q26A	2Q26E	3Q26E	4Q26E
Revenue	**109,896A**	**117,416**	**125,032**	**140,366**
COGS	(41,271)A	(45,917)	(49,423)	(55,622)
Gross profit	**68,625A**	**71,499**	**75,608**	**84,744**
SG&A	(11,897)A	(13,730)	(13,945)	(16,679)
Adj. EBITDA	**52,929A**	**55,938**	**60,247**	**66,961**
D&A	(6,482)A	(8,136)	(9,478)	(11,038)
Adj. EBIT	**46,447A**	**47,802**	**50,769**	**55,924**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**48,355**	**51,268**	**56,367**
Tax	(14,834)A	(6,958)	(7,363)	(8,227)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,786**	**43,203**	**47,436**
Reported EPS	5.11A	2.76	2.91	3.24
Adj. EPS	**3.16A**	**3.32**	**3.50**	**3.83**
DPS	**0.21A**	**0.22**	**0.22**	**0.22**
Payout ratio	4.1%A	8.0%	7.5%	6.8%
Shares outstanding	12,238A	12,287	12,336	12,385

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	20,010	23,640	24,845
Accounts receivable	62,886	77,876	97,087	119,649
Inventories	0	0	0	0
Other current assets	112,444	109,348	54,423	35,382
Current assets	**206,038**	**207,234**	**175,150**	**179,877**
PP&E	246,597	406,718	640,938	896,055
LT investments	-	-	-	-
Other non current assets	142,646	210,540	215,195	220,663
Total assets	**595,281**	**824,492**	**1,031,283**	**1,296,595**
Short term borrowings	0	0	0	0
Payables	12,200	15,388	19,184	23,642
Other short term liabilities	90,545	107,523	134,047	165,198
Current liabilities	**102,745**	**122,911**	**153,231**	**188,840**
Long-term debt	46,547	77,501	74,501	82,001
Other long term liabilities	30,724	36,484	35,692	34,900
Total liabilities	**180,016**	**236,896**	**263,424**	**305,741**
Shareholders' equity	415,265	587,596	767,859	990,854
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**824,492**	**1,031,283**	**1,296,595**
BVPS	**33.95**	**47.73**	**61.75**	**78.92**
y/y Growth	*30.0%*	*40.6%*	*29.4%*	*27.8%*
Net debt/(cash)	15,839	57,491	50,861	57,156
Cash flow from operating activities	**164,713**	**206,678**	**272,947**	**351,856**
o/w Depreciation & amortization	21,136	35,134	59,222	93,367
o/w Changes in working capital	618	(2,608)	587	828
Cash flow from investing activities	**(120,291)**	**(217,739)**	**(233,443)**	**(323,484)**
o/w Capital expenditure	(91,447)	(190,024)	(293,443)	(348,484)
as % of sales	*22.7%*	*38.6%*	*48.5%*	*47.4%*
Cash flow from financing activities	**(37,388)**	**486**	**(35,875)**	**(27,166)**
o/w Dividends paid	-	(10,684)	(10,943)	(11,048)
o/w Net debt issued/(repaid)	32,138	29,902	(3,000)	7,500
Net change in cash	**7,242**	**(10,698)**	**3,629**	**1,206**
Adj. Free cash flow to firm	**73,266**	**16,654**	**(20,496)**	**3,372**
y/y Growth	*0.7%*	*(77.3%)*	*(223.1%)*	*(116.5%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	61.0%	60.5%	59.5%
EBITDA margin	44.3%	47.9%	51.0%	54.0%
EBIT margin	39.1%	40.8%	41.2%	41.3%
Net profit margin	33.5%	34.5%	34.7%	34.5%
ROE	36.5%	33.9%	30.9%	28.8%
ROA	25.8%	24.0%	22.6%	21.8%
ROCE	33.9%	30.1%	28.2%	27.1%
SG&A/Sales	11.6%	11.4%	10.5%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	34.7	27.7	22.7	19.0
P/BV (x)	11.3	8.0	6.2	4.9
EV/EBITDA (x)	23.9	18.2	13.9	10.8
Dividend Yield	0.2%	0.2%	0.2%	0.2%
Sales/Assets (x)	0.8	0.7	0.7	0.6
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	123.8%	105.8%	101.4%
Revenue y/y Growth	15.1%	22.3%	22.7%	21.6%
EBITDA y/y Growth	18.7%	32.2%	30.6%	28.8%
Tax rate	14.2%	15.6%	14.6%	14.7%
Adj. Net Income y/y Growth	15.6%	26.0%	23.3%	20.9%
EPS y/y Growth	17.7%	25.2%	22.1%	19.8%
DPS y/y Growth	38.9%	5.6%	1.4%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Adj. PBT	**187,236**	**240,153**	**249,580**	**302,085**
Tax	(26,656)	(37,383)	(36,442)	(44,424)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,088**	**209,716**	**253,596**
Reported EPS	10.81	14.02	14.31	17.28
Adj. EPS	**11.04**	**13.82**	**16.87**	**20.20**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	6.2%	6.2%	5.1%
Shares outstanding	12,230	12,312	12,435	12,555

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SG&A	(11,897)A	(13,730)	(13,945)	(16,679)
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Tax	(14,834)A	(6,958)	(7,363)	(8,227)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,786**	**43,203**	**47,436**
Reported EPS	5.11A	2.76	2.91	3.24
Adj. EPS	**3.16A**	**3.32**	**3.50**	**3.83**
DPS	**0.21A**	**0.22**	**0.22**	**0.22**
Payout ratio	4.1%A	8.0%	7.5%	6.8%
Shares outstanding	12,238A	12,287	12,336	12,385

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
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Inventories	0	0	0	0
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Current assets	**206,038**	**207,234**	**175,150**	**179,877**
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Other long term liabilities	30,724	36,484	35,692	34,900
Total liabilities	**180,016**	**236,896**	**263,424**	**305,741**
Shareholders' equity	415,265	587,596	767,859	990,854
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**824,492**	**1,031,283**	**1,296,595**
BVPS	**33.95**	**47.73**	**61.75**	**78.92**
y/y Growth	*30.0%*	*40.6%*	*29.4%*	*27.8%*
Net debt/(cash)	15,839	57,491	50,861	57,156
Cash flow from operating activities	**164,713**	**206,678**	**272,947**	**351,856**
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o/w Capital expenditure	(91,447)	(190,024)	(293,443)	(348,484)
as % of sales	*22.7%*	*38.6%*	*48.5%*	*47.4%*
Cash flow from financing activities	**(37,388)**	**486**	**(35,875)**	**(27,166)**
o/w Dividends paid	(10,050)	(10,684)	(10,943)	(11,048)
o/w Net debt issued/(repaid)	32,138	29,902	(3,000)	7,500
Net change in cash	**7,242**	**(10,698)**	**3,629**	**1,206**
Adj. Free cash flow to firm	**73,266**	**16,654**	**(20,496)**	**3,372**
y/y Growth	*0.7%*	*(77.3%)*	*(223.1%)*	*(116.5%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	61.0%	60.5%	59.5%
EBITDA margin	44.3%	47.9%	51.0%	54.0%
EBIT margin	39.1%	40.8%	41.2%	41.3%
Net profit margin	33.5%	34.5%	34.7%	34.5%
ROE	36.5%	33.9%	30.9%	28.8%
ROA	25.8%	24.0%	22.6%	21.8%
ROCE	33.9%	30.1%	28.2%	27.1%
SG&A/Sales	11.6%	11.4%	10.5%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	34.9	27.9	22.9	19.1
P/BV (x)	11.4	8.1	6.2	4.9
EV/EBITDA (x)	24.1	18.4	14.1	10.9
Dividend Yield	0.2%	0.2%	0.2%	0.2%
Sales/Assets (x)	0.8	0.7	0.7	0.6
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	123.8%	105.8%	101.4%
Revenue y/y Growth	15.1%	22.3%	22.7%	21.6%
EBITDA y/y Growth	18.7%	32.2%	30.6%	28.8%
Tax rate	14.2%	15.6%	14.6%	14.7%
Adj. Net Income y/y Growth	15.6%	26.0%	23.3%	20.9%
EPS y/y Growth	17.7%	25.2%	22.1%	19.8%
DPS y/y Growth	38.9%	5.6%	1.4%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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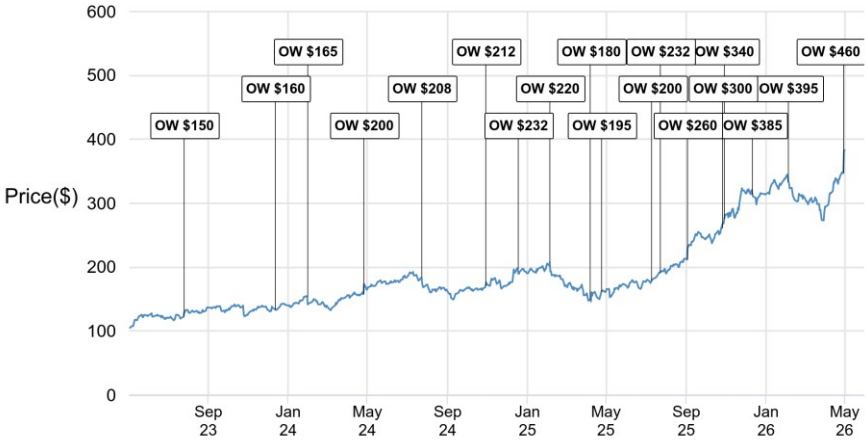
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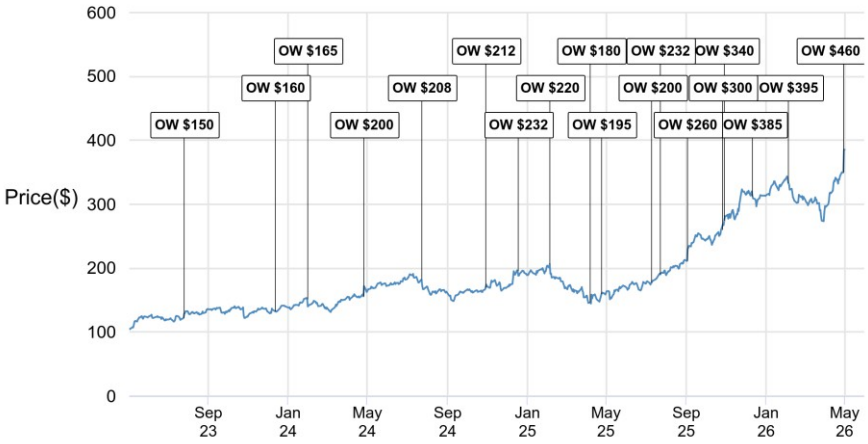
Alphabet (GOOG, GOOG US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.79	150
13-Dec-23	OW	133.64	160
31-Jan-24	OW	153.05	165
26-Apr-24	OW	157.95	200
24-Jul-24	OW	183.60	208
30-Oct-24	OW	171.14	212
18-Dec-24	OW	197.12	232
05-Feb-25	OW	207.71	220
08-Apr-25	OW	149.24	180
25-Apr-25	OW	161.47	195
11-Jul-25	OW	178.70	200
24-Jul-25	OW	191.51	232
03-Sep-25	OW	211.99	260
27-Oct-25	OW	260.51	300
30-Oct-25	OW	275.17	340
12-Dec-25	OW	313.70	385
05-Feb-26	OW	333.34	395
30-Apr-26	OW	347.31	460

Alphabet Inc. (GOOGL, GOOGL US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.21	150
13-Dec-23	OW	132.52	160
31-Jan-24	OW	151.46	165
26-Apr-24	OW	156.00	200
24-Jul-24	OW	181.79	208
30-Oct-24	OW	169.68	212
18-Dec-24	OW	195.42	232
05-Feb-25	OW	206.38	220
08-Apr-25	OW	146.75	180
25-Apr-25	OW	159.28	195
11-Jul-25	OW	177.62	200
24-Jul-25	OW	190.23	232
03-Sep-25	OW	211.35	260
27-Oct-25	OW	259.92	300
30-Oct-25	OW	274.57	340
12-Dec-25	OW	312.43	385
05-Feb-26	OW	333.04	395
30-Apr-26	OW	349.94	460

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